Hormel Foods HRL

NYSE · Consumer Defensive · Packaged Foods · USD · Price date 30.10.26

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
28.06	21.28	+31.8%	+34.0%	11.7bn	5.5%
DDM	USD, close 30.10.26	$V_0 / P_0 - 1$	IR 1.47	USD	DO USD 1.17

1 · INVESTMENT CASE

FAIR VALUE VS PRICE

The two-stage DDM gives USD 28.06, against a price of USD 21.28. At a cost of equity of 6.66%, the price implies only 1.1% dividend growth forever. Yet consensus has adjusted EPS rising from 1.37 to 1.57 by next fiscal year, and the company targets 5–7% operating profit growth [3]. GAAP hides this: trailing EPS of 0.62 carries charges such as a USD 56m loss on the Brazil sale [1].

MARGIN OF SAFETY AND ALPHA

Margin of safety +31.8%, alpha +34.0% a year (IR 1.47), assuming the gap closes within one year.

CATALYST

Q4 results, FY26 accounts and FY27 guidance, the first from the new CEO · `About 3 Dec (Yahoo).` Reported on 4 Dec in 2024 and 2025 [4]; this year's date is not yet confirmed. The main event: guidance on algorithm supports EPS of 1.57, and FY26 cash flow could clear the FCF red flags.

61st annual dividend increase · `Late Nov (expected).` Last year's came on 24 Nov 2025 [2]. Not yet announced. A raise above last year's 1% would signal that the CEO expects cash flow to recover.

DECISION

Long candidate. A low-beta, conservatively financed company yielding 5.5%, with dated news inside the challenge. The comparables give USD 17.58, so we read the margin as an upper bound.

2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

Hormel has paid a dividend every quarter since 1928 and raised it 60 years running [2], with no buybacks in FY24–FY25, so dividends are the cash owners receive. We use two stages because earnings are below normal: higher growth while margins recover, then a low terminal rate.

METHODS THAT DO NOT FIT

Gordon alone would ignore the recovery or extend it forever. Trailing P/E is distorted by one-off charges. P/B says little after write-downs across the sector. A cash-flow DCF would start from FY25 FCF, the lowest in four years (USD 534m).

DDM INPUTS

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 21.28	Close 30.10.26, not adjusted
D_0, dividend	USD 1.17	Dividends paid, last 12 months
β on SPY	0.27	Slope on SPY, 60 months
r_f, 10-year yield	4.98%	FRED DGS10, 29.10.26
ERP	6.11%	Bloomberg CRP, Class 5: refresh
$k = r_f + \beta$ ERP	6.66%	CAPM
g_1, first stage	4.0%	Below consensus EPS growth of 5.6%
T, years	5	Years to rebuild margins; ours
g_2, terminal	2.0%	Below the 2–3% sales algorithm [3]; ours
Gordon value	USD 25.66	+21% vs price
Two-stage value	**USD 28.06**	**+32% vs price; 81% terminal value**

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	1.0%	1.5%	2.0%	2.5%	3.0%
5.66%	29.07	32.02	35.78	40.74	47.55
6.16%	26.22	28.56	31.46	35.15	40.01
6.66%	23.88	25.76	**28.06**	30.90	34.52
7.16%	21.91	23.47	25.32	27.57	30.36
7.66%	20.25	21.54	23.06	24.88	27.09
Upside	+12%	+21%	+32%	+45%	+62%

Two-stage DDM value, USD. Shaded: at or above the price of 21.28. Dark: base case. Upside at the base k.

The DDM is at or above the price in 24 of 25 cases; it falls below only if k rises and g2 falls by a full point each. The terminal rate of 2.0% is also below sustainable growth of 2.8%.

3 · COMPARABLE COMPANIES: A DOUBLE CHECK

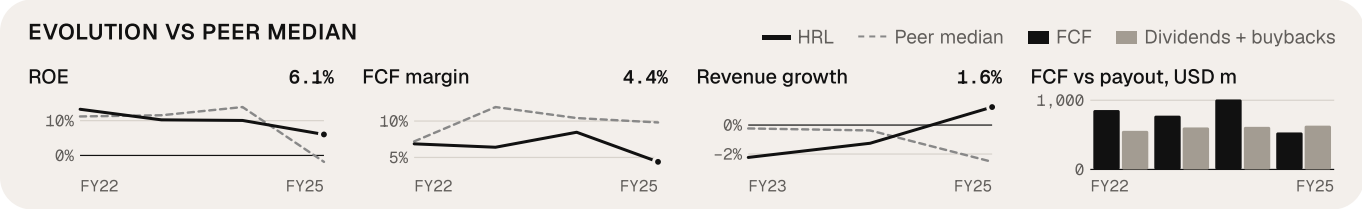
COMPANY	CAP, BN	FWD P/E	P/FCF	EV/EBITDA
GIS General Mills	18.3	10.9x	11.3x	9.2x
CPB Campbell's	6.4	11.7x	9.4x	8.5x
SJM J. M. Smucker	13.9	11.8x	12.0x	9.2x
KHC Kraft Heinz	28.9	11.7x	7.9x	8.2x
CAG Conagra Brands	7.0	9.7x	7.1x	8.7x
MKC McCormick	12.7	14.7x	17.2x	12.0x
Peer average		11.7x	10.8x	9.3x
Peer median		11.7x	10.3x	8.9x
HRL Hormel Foods	**11.7**	**13.6x**	**21.9x**	**10.8x**
Implied price at peer average		18.41	10.50	17.72
Implied price at peer median		18.32	10.05	16.85

Comps value USD 17.58 (–17%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.

4 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY25	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND	
Profitability	ROE	6.1%	-1.8%	11.2%	better	worsening	
Profitability	ROA	3.6%	-0.6%	6.5%	better	worsening	
Profitability	FCF margin	4.4%	9.8%	7.3%	worse	worsening	**Red flag**
Growth	Revenue growth	1.6%	-3.2%	-2.2%	better	improving	
Growth	Gross margin	15.6%	33.4%	17.0%	worse	worsening	**Red flag**
Safety	Debt / equity	0.36	1.21	0.41	better	improving	
Payout	Payout / FCF	1.18	0.70	0.68	worse	worsening	**Red flag**

Earnings test: adjusted EPS 1.37 (FY25) → 1.48 → 1.57 (forward): rising. Trailing GAAP EPS of 0.62 includes one-off items.



WATCH **Red flags or falling earnings, not both: watch, not a trap.** Margins and cash flow weakened in FY25, lifting P/FCF to 21.9x against 10.3x for peers, and sales guidance was cut in August [1]. But earnings are expected to grow and debt is low. The FY26 accounts, due with Q4 results, are the real test.

5 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	+34.0%	1.47
Gap never closes	α never = $D_1 / P_0 + g - k$	+1.0%	0.04
Used: closes in 1 year	**Goes into Treynor-Black**	**+34.0%**	**1.47**

Two dated events fall in the window, so we assume the gap closes within 1 year (Class 5). The comparables give USD 17.58, below the price, so this alpha is an upper bound, not a forecast. IR 1.47, against 0.64 for Buffett.

6 · SPECIFIC ISSUES

VALUE-TRAP RISK: CASH MUST COVER THE DIVIDEND

FY25 FCF did not cover the dividend (payout/FCF 1.18), the main trap risk, and Q3 volume fell 7.4% [1]. We are wrong if FY27 EPS guidance is below FY26 or FCF again misses the dividend. First-stage growth of 4.0% also needs a lower payout (now 75%).

MANAGEMENT QUALITY AND UPSIDE

CEO John Ghingo, since 26 Oct 2026 [5], is unproven. So far: debt/equity 0.36, no buybacks, two businesses sold [1]. No activist route: the Hormel Foundation holds 46.8% [6]. Upside: USD 28.06 (+32%), if FY27 guidance is on algorithm.

Model flags: *DDM and comparables disagree (the TA's "mixed: check"); IR of 1.47 is above Buffett's 0.64: the alpha is probably too optimistic.*

[1] Hormel Foods, Q3 FY2026 results, 27 Aug 2026. [2] Hormel Foods, 60th dividend increase, 24 Nov 2025. [3] Hormel Foods, preliminary Q1 FY2026, 17 Feb 2026. [4] Hormel Foods, Q4 call notices, 2024–25. [5] Twin Cities Business, CEO succession, 2026. [6] Hormel Foods, Who owns Hormel Foods? Market data: Yahoo Finance and FRED, downloaded 01.11.26.